

INS-302 · DEVELOPER GUIDE · VERSION 1.3

Eligibility, application, underwriting, funding, construction, the annual levy, and the FAQ | HGF Management Company | July 24, 2026

Version 1.3, July 24, 2026. One document for the builder: eligibility, the application, underwriting, approval, funding, construction, the annual levy, and the questions everyone asks. This guide consolidates the intake manual (INS-202), the data package checklist (INS-201), the appraisal manual (INS-101), and the transaction execution manual (INS-401); those remain the controlling documents where detail matters.

1. What INSITE is, in one paragraph

INSITE finances development impact fees for small residential subdivisions, 1 to 50 lots, in participating California jurisdictions. Instead of writing a six-figure check at the permit counter or borrowing private money at 9.5 to 15 percent, the project's fees are paid from a note secured by a voluntary special tax on the project's own lots, collected with the property tax bill under the Mello-Roos Community Facilities Act (Government Code 53311 and following). Large master-planned communities have used this structure for decades; INSITE's job is making it work at small-project scale. Three sentences carry the whole idea. It's not a loan to you; it's a tax on the land. You never repay the principal; the lots do. Your cash stays in your pocket at the permit counter.

2. Are you eligible

Residential subdivisions of 1 to 50 lots in a participating jurisdiction; finished or near-finished lots; financing capped at 25 percent of the lots' appraised value (program policy, stricter than the statute, which allows roughly a third, Government Code 53345.8); and a minimum financing size set at feasibility screening. School fees are excluded at launch. Full eligibility rules live in INS-202.

3. The application: one data package, one answer

Everything needed for a yes-or-no lives in one submission, form INS-201: title report, tract or parcel maps, project budget, the jurisdiction's fee schedule for your parcels (your agency is required to post its current schedule online under Government Code 65940.1), entitlement status, and your entity documents. A complete package gets a feasibility screening answer; an incomplete package gets a list of what's missing, once.

4. Underwriting: what gets checked

Two questions decide it. First, value: an independent MAI appraiser, engaged under the program's appraisal manual (INS-101) to State Treasurer (CDIAC) standards, values your lots, and the financing is capped at 25 percent of that appraised value. Second, capacity: the total projected tax burden on a finished home is benchmarked against the two-percent-of-value policy used by the state's largest issuer. If the numbers work, the deal proceeds; if they don't, you hear it plainly and early, before you have spent meaningful money.

5. Approval and annexation: your signature, not an election

Participating jurisdictions maintain one master financing district with a recorded future annexation area. Under that recorded designation, your parcels join with the unanimous approval of the owner, your signature, without any requirement for further public hearings or additional proceedings (Government Code 53339.3(b) and 53339.7); the clerk simply records the annexation and the amendment to the notice of special tax lien, and Government Code 53339.3(d) keeps each project's security separate. No hearing, no election, no campaign: paperwork and a recording.

6. Funding: what gets paid and what it costs

At closing, note proceeds pay the eligible impact fees for your project, and the deal's costs are financed right alongside them, so your day-one cash is zero. Those costs come in two parts, both rolled into the note: an origination fee set as a percentage of the amount financed, stated on your term sheet, plus the hard costs of execution, appraisal, document preparation, title, recording, and the annexation itself, targeted at \$5,000 to \$30,000 per project (a founder estimate, pending vendor quotes). Financing the costs raises the annual special tax slightly, and the arithmetic shows it honestly. The arithmetic of cash saved versus tax carried is in the calculator on the program website, insite-ca.org.

7. During construction

Once fees are funded, you build. The special tax lien is recorded against the project's parcels and has the same standing as other property-tax obligations, so tell your construction lender early; the annual levy simply appears on the county tax bill for each

parcel, and while you hold lots, you pay their tax like any other carrying cost. The tax year runs July 1 through June 30, and whether your project catches the next roll depends on your closing date; the program administrator gives you the exact first-levy date at closing.

8. Selling homes: disclosure and the buyer's protections

The obligation belongs to the land and transfers automatically at sale. California law requires disclosure of the special tax to buyers, and the program's recorded rate-and-method fixes the formula in advance: an occupied home's tax cannot rise more than 10 percent because of anyone else's delinquency (Government Code 53321(d)), and every owner holds a defined prepayment right to pay the obligation off entirely. Your escrow handles it like any other Mello-Roos disclosure, because that is what it is.

9. After closing: the annual levy, year after year

Ongoing administration asks almost nothing of you, and here is the whole machine. Each year the program administrator computes every parcel's special tax under the recorded rate and method of apportionment and submits the levy file to the county; the county tax collector bills and collects it with the ordinary property tax bill, in the same installments, with the same enforcement standing (INS-501 sets the maker-and-checker recomputation discipline behind that annual file). While you hold unsold lots, the levy is yours and on-time payment matters twice: the lien carries the Act's accelerated judicial foreclosure remedy on delinquency, applied per the note's covenants, and your payment history is part of the program's reported portfolio record. Once a home sells, the levy follows the land to the buyer, whose exposure is bounded by the recorded formula: an occupied home's tax cannot rise more than 10 percent because of a neighbor's delinquency (Government Code 53321(d)), and it can never be based on the home's value (53325.3). Any owner, you included, can request a payoff quote at any time under the recorded prepayment right; the program administrator answers those quotes, levy questions, and everything else at the contact given at closing.

10. What it is not

This is not a loan to you. You never sign a personal guarantee, and nobody ever sends you a bill to pay the money back. Instead, each lot in your project picks up a small yearly charge on its property tax bill, and that charge is what pays the money back over time. When you sell a house, the charge goes with the house, and the buyer sees it on their tax bill like any other Mello-Roos tax; buyers get told about it in escrow, same as always. It is not free, though: the costs of setting up the deal, things like the appraisal and paperwork, are real and are financed into the note, which nudges the yearly charge up, and any lot you still own pays its yearly charge until you sell it, the same way you pay property taxes on lots you hold. It does not work everywhere: your city or county has to be signed up with the program first. And no number is final until you have a signed term sheet in your hand; everything before that is an estimate.

11. Questions developers actually ask

Can I pay it off early? Yes; every owner holds a defined prepayment right under the recorded rate-and-method. **What happens to lots I still own?** You pay their annual special tax until they sell, like any carrying cost. **Will this complicate my construction loan?** The lien has property-tax standing, so raise it with your lender at application, not at closing. **Are school fees included?** No, excluded at launch. **How long does approval take?** A complete data package gets a screening answer quickly; annexation then rides your council's calendar. **What if my project is 55 lots?** Outside the 1-to-50 launch box; ask anyway, the box is policy, not statute. **Who is behind this?** HGF Management Company, program administrator: Dennis Lanni, Founder, insite-ca.org. **Is my project's tax at risk from other projects?** No; each note is secured only by its own project's special taxes, with no cross-collateralization.

INSITE™ is a pre-launch program concept administered by HGF Management Company. This material is not an offer of financing, legal advice, or investment advice. Program structure, eligibility, costs, and pricing are subject to issuer approval, bond counsel review, and program underwriting. Figures identified as targets or estimates are the founder's working numbers, not commitments.